



Virginia
Retirement
System

**VIRGINIA RETIREMENT SYSTEM
TEACHER RETIREMENT PLAN**

GASB No. 68 Schedules

With Independent Auditor's Report Thereon

For the Plan Year Ended June 30, 2020

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Commonwealth of Virginia

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August 13, 2021

Board of Trustees
Virginia Retirement System
1200 E. Main Street
Richmond, VA 23219

INDEPENDENT AUDITOR'S REPORT

Report on the Schedules

We have audited the accompanying schedule of employer allocations of the Virginia Retirement System Teacher Retirement Plan as of and for the year ended June 30, 2020, and the related notes. We have also audited the total for teacher employers of the columns titled net pension liability, total pension expense, total deferred outflows of resources, and total deferred inflows of resources (specified column totals) included in the accompanying schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer of the Virginia Retirement System Teacher Retirement Plan as of and for the year ended June 30, 2020, and the related notes.

Management's Responsibility for the Schedules

The Virginia Retirement System's management is responsible for the preparation and fair presentation of these schedules in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the schedules that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by the Virginia Retirement System management, as well as evaluating the overall presentation of the schedule of employer allocations and the specified column totals included in the schedule of net pension liability and total pension expense and the schedule of deferred outflows and deferred inflows of resources by employer.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the schedules referred to above present fairly, in all material respects, the employer allocations and net pension liability, total pension expense, total deferred outflows of resources, and total deferred inflows of resources, for the total of all of the participating teacher employers for the Virginia Retirement System Teacher Retirement Plan as of and for the year ended June 30, 2020, in accordance with accounting principles generally accepted in the United States of America.

Other Matter

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the Virginia Retirement System as of and for the year ended June 30, 2020, and our report thereon, dated December 15, 2020, expressed an unmodified opinion on those financial statements.

Restriction on Use

Our report is intended solely for the information and use of the Virginia Retirement System management, the Virginia Retirement System Board of Trustees, the Commonwealth Joint Legislative Audit and Review Commission, and the Virginia Retirement System Teacher Retirement Plan employers and their auditors and is not intended to be and should not be used by anyone other than these specified parties.

Staci A. Henshaw
AUDITOR OF PUBLIC ACCOUNTS

ZLB/clj

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2020**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40100	Accomack County School Board	\$ 4,363,784	0.32840%
40101	Albemarle County Schools	15,466,883	1.16395%
40102	Alleghany County School Board	1,760,805	0.13251%
40103	Amelia County School Board	1,307,931	0.09843%
40104	Amherst County School Board	3,836,338	0.28870%
40105	Appomattox County School Board	1,773,070	0.13343%
40106	Arlington Public Schools	48,738,280	3.66778%
40107	Augusta County School Board	9,300,598	0.69991%
40108	Bath County School Board	702,573	0.05287%
40109	Bedford County School Board	8,166,050	0.61453%
40110	Bland County School Board	551,169	0.04148%
40111	Botetourt County Schools	4,393,394	0.33062%
40112	Brunswick County Public Schools	1,421,634	0.10698%
40113	Buchanan County School Board	2,102,387	0.15821%
40114	Buckingham County School Board	1,739,502	0.13091%
40115	Campbell County School Board	6,392,959	0.48110%
40116	Caroline County School Board	3,264,607	0.24568%
40117	Carroll County School Board	3,356,000	0.25255%
40118	Charles City County School Board	635,678	0.04784%
40119	Charlotte County School Board	1,744,225	0.13126%
40120	Chesterfield County School Board	49,182,407	3.70121%
40121	Clarke County School Board	1,968,435	0.14813%
40122	Craig County School Board	568,737	0.04280%
40123	Culpeper County School Board	7,118,552	0.53570%
40124	Cumberland County School Board	1,292,855	0.09729%
40125	Dickenson County School Board	1,565,256	0.11779%
40126	Dinwiddie County School Board	3,769,367	0.28366%
40128	Essex County Public Schools	1,181,098	0.08888%
40129	Fairfax County School Board	245,902,490	18.50536%
40130	Fauquier County School Board	11,960,052	0.90005%
40131	Floyd County School Board	1,694,858	0.12755%
40132	Fluvanna County Public Schools	3,856,690	0.29023%
40133	Franklin County Public Schools	6,530,588	0.49146%
40134	Frederick County School Board	14,567,304	1.09626%
40135	Giles County Schools	2,018,914	0.15193%
40136	Gloucester County School Board	4,984,888	0.37514%
40137	Goochland County School Board	2,471,825	0.18602%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2020**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40138	Grayson County School Board	1,438,534	0.10826%
40139	Greene County Public Schools	2,696,332	0.20291%
40140	Greensville County School Board	2,066,682	0.15553%
40141	Halifax County School Board	4,260,898	0.32065%
40142	Hanover County School Board	16,260,682	1.22369%
40143	Henrico County School Board	44,318,177	3.33515%
40144	Henry County Public Schools	5,940,124	0.44702%
40145	Highland County Public Schools	283,796	0.02136%
40146	Isle of Wight County Schools	4,961,648	0.37339%
40148	King George County School Board	3,753,673	0.28248%
40149	King & Queen County School Board	726,655	0.05468%
40150	King William County School Board	1,901,973	0.14313%
40151	Lancaster County Public Schools	1,104,482	0.08312%
40152	Lee County School Board	3,026,059	0.22773%
40153	Loudoun County School Board	105,864,382	7.96679%
40154	Louisa County Public Schools	4,683,607	0.35246%
40155	Lunenburg County School Board	1,376,948	0.10362%
40156	Madison County School Board	1,539,369	0.11584%
40157	Mathews County School Board	1,178,080	0.08866%
40158	Mecklenburg County School Board	3,814,229	0.28704%
40159	Middlesex County School Board	1,386,732	0.10436%
40160	Montgomery County School Board	8,783,764	0.66102%
40162	Nelson County Public Schools	1,791,194	0.13480%
40163	New Kent County School Board	2,735,731	0.20588%
40165	Northampton County Schools	1,450,509	0.10916%
40166	Northumberland County School Board	1,287,931	0.09692%
40167	Nottoway County School Board	1,731,912	0.13033%
40168	Orange County Public Schools	4,206,309	0.31654%
40169	Page County Public Schools	2,816,115	0.21193%
40170	Patrick County School Board	1,964,649	0.14785%
40171	Pittsylvania County School Board	7,025,629	0.52871%
40172	Powhatan County School Board	3,855,104	0.29011%
40173	Prince Edward County School Board	1,772,572	0.13339%
40174	Prince George County School Board	5,253,823	0.39537%
40176	Prince William County School Board	89,834,273	6.76045%
40177	Pulaski County School Board	3,296,192	0.24805%
40178	Rappahannock County School Board	909,878	0.06847%
40179	Richmond County School Board	1,108,639	0.08343%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2020**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40180	Roanoke County School Board	12,301,330	0.92573%
40181	Rockbridge County School Board	2,722,770	0.20490%
40182	Rockingham County School Board	10,619,237	0.79915%
40183	Russell County School Board	3,005,168	0.22615%
40184	Scott County School Board	3,281,436	0.24694%
40185	Shenandoah County School Board	5,847,536	0.44005%
40186	Smyth County School Board	3,541,736	0.26653%
40187	Southampton County School Board	2,111,743	0.15892%
40188	Spotsylvania County School Board	20,904,800	1.57318%
40189	Stafford County School Board	25,677,715	1.93237%
40190	Surry County Schools	1,130,433	0.08507%
40191	Sussex County School Board	1,265,000	0.09520%
40192	Tazewell County Schools	3,861,355	0.29058%
40193	Warren County School Board	4,770,146	0.35898%
40195	Washington County School Board	5,591,377	0.42078%
40196	Westmoreland County School Board	1,541,868	0.11603%
40197	Wise County School Board	4,423,007	0.33285%
40198	Wythe County School Board	3,301,431	0.24845%
40199	York County School Board	11,391,016	0.85723%
40200	Alexandria City School Board	24,495,489	1.84340%
40201	Bristol City School Board	2,011,765	0.15139%
40202	Buena Vista City Schools	810,411	0.06099%
40203	Charlottesville Public Schools	6,374,602	0.47972%
40205	Danville City Schools	5,608,511	0.42207%
40206	Fredericksburg City Schools	3,713,243	0.27944%
40207	Hampton City Schools	17,180,999	1.29295%
40208	Harrisonburg City School Board	6,629,088	0.49887%
40209	Hopewell City School Board	4,097,008	0.30832%
40210	Lynchburg Public Schools	8,486,555	0.63865%
40211	Newport News Public Schools	25,379,823	1.90995%
40212	Norfolk Public Schools	32,572,517	2.45123%
40213	Petersburg City Schools	3,816,873	0.28724%
40214	Portsmouth School Board	13,052,269	0.98224%
40215	Radford City School Board	1,397,608	0.10518%
40216	Richmond Public Schools	24,869,281	1.87153%
40217	Roanoke City School Board	12,905,042	0.97116%
40219	Staunton City Schools	2,729,652	0.20542%
40220	Suffolk City School Board	12,596,173	0.94792%

**Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Employer Allocations
For the Plan Year Ended and Measurement Date of June 30, 2020**

Employer Code	Employer	Employer Contributions	Employer Allocation Percentage
40222	Winchester Public Schools	4,707,596	0.35427%
40223	Martinsville City Schools	1,767,607	0.13302%
40224	Falls Church Public Schools	4,324,280	0.32542%
40225	Colonial Heights City Schools	3,043,014	0.22900%
40230	Covington City School Board	866,676	0.06522%
40231	Fairfax City School Board	15,306	0.00115%
40232	Franklin City Public Schools	956,731	0.07200%
40233	Chesapeake Public Schools	38,740,321	2.91539%
40234	Virginia Beach City School Board	65,262,712	4.91132%
40236	Manassas Park City Schools	3,474,004	0.26143%
40306	Town of West Point School Board	885,254	0.06662%
40307	Lexington City School Board	499,983	0.03763%
40308	Waynesboro Public Schools	2,776,384	0.20894%
40309	Town of Colonial Beach Schools	570,347	0.04292%
40313	Galax City Schools	1,136,356	0.08552%
40314	Norton City Schools	564,006	0.04244%
40332	Manassas City Schools	8,734,182	0.65729%
40335	City of Salem Schools	3,630,503	0.27321%
40402	Williamsburg-James City County School Board	11,398,500	0.85779%
40403	Poquoson City Public Schools	1,865,884	0.14042%
40410	Valley Vocational Technical Center	314,648	0.02368%
40412	Charlottesville/Albemarle Vo-Tech Center	188,995	0.01422%
40414	Jackson River Technical Center	88,269	0.00664%
40415	New Horizons Technical Center	1,374,234	0.10342%
40416	Northern Neck Regional Vocational Center	190,435	0.01433%
40417	Rowanty Vocational Technical Center	131,434	0.00989%
40418	Amelia-Nottoway Vocational Center	38,189	0.00287%
40421	Northern Neck Regional Special Education Program	131,025	0.00986%
40423	Maggie Walker Governor's School for Govt & Intl Studies	678,951	0.05109%
40424	Appomattox Region Governor's School	313,505	0.02359%
40425	Bridging Communities Regional Career and Tech Center	76,632	0.00577%
Total for Teacher Employers		\$ 1,328,821,445	100.00000%

The accompanying notes are an integral part of the Schedule of Employer Allocations.

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2020

Employer Code	Employer	Net Pension Liability	Total Pension Expense
40100	Accomack County School Board	\$ 47,790,825	\$ 4,863,470
40101	Albemarle County Schools	169,385,292	20,429,037
40102	Alleghany County School Board	19,283,685	1,398,631
40103	Amelia County School Board	14,324,150	1,383,852
40104	Amherst County School Board	42,013,432	4,131,885
40105	Appomattox County School Board	19,417,569	2,071,792
40106	Arlington Public Schools	533,758,312	65,340,531
40107	Augusta County School Board	101,855,286	10,445,610
40108	Bath County School Board	7,693,974	698,858
40109	Bedford County School Board	89,430,254	9,365,984
40110	Bland County School Board	6,036,429	363,281
40111	Botetourt County Schools	48,113,893	4,771,742
40112	Brunswick County Public Schools	15,568,399	1,217,204
40113	Buchanan County School Board	23,023,710	1,482,786
40114	Buckingham County School Board	19,050,843	1,936,530
40115	Campbell County School Board	70,012,685	7,089,070
40116	Caroline County School Board	35,752,892	3,821,465
40117	Carroll County School Board	36,752,658	3,651,471
40118	Charles City County School Board	6,961,976	505,045
40119	Charlotte County School Board	19,101,777	1,775,320
40120	Chesterfield County School Board	538,623,255	61,594,175
40121	Clarke County School Board	21,556,805	2,296,942
40122	Craig County School Board	6,228,524	546,132
40123	Culpeper County School Board	77,958,419	8,352,144
40124	Cumberland County School Board	14,158,250	1,519,675
40125	Dickenson County School Board	17,141,538	1,436,909
40126	Dinwiddie County School Board	41,279,980	4,632,293
40128	Essex County Public Schools	12,934,374	998,035
40129	Fairfax County School Board	2,693,015,856	315,958,366
40130	Fauquier County School Board	130,980,912	13,514,805
40131	Floyd County School Board	18,561,875	1,947,134
40132	Fluvanna County Public Schools	42,236,086	4,339,297
40133	Franklin County Public Schools	71,520,336	7,580,696
40134	Frederick County School Board	159,534,620	19,014,863
40135	Giles County Schools	22,109,805	2,381,841
40136	Gloucester County School Board	54,592,721	6,019,672
40137	Goochland County School Board	27,070,795	3,017,028
40138	Grayson County School Board	15,754,673	1,299,856

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2020

Employer Code	Employer	Net Pension Liability	Total Pension Expense
40139	Greene County Public Schools	29,528,734	3,181,843
40140	Greensville County School Board	22,633,700	2,343,218
40141	Halifax County School Board	46,662,996	4,064,145
40142	Hanover County School Board	178,079,031	19,001,853
40143	Henrico County School Board	485,351,912	55,942,455
40144	Henry County Public Schools	65,053,150	6,772,666
40145	Highland County Public Schools	3,108,441	302,569
40146	Isle of Wight County Schools	54,338,051	6,041,284
40148	King George County School Board	41,108,259	5,235,533
40149	King & Queen County School Board	7,957,376	733,165
40150	King William County School Board	20,829,174	2,041,453
40151	Lancaster County Public Schools	12,096,143	979,141
40152	Lee County School Board	33,140,695	3,512,597
40153	Loudoun County School Board	1,159,377,165	172,610,427
40154	Louisa County Public Schools	51,292,186	6,025,308
40155	Lunenburg County School Board	15,079,431	1,668,836
40156	Madison County School Board	16,857,762	1,550,947
40157	Mathews County School Board	12,902,359	1,528,246
40158	Mecklenburg County School Board	41,771,858	4,622,204
40159	Middlesex County School Board	15,187,121	1,924,592
40160	Montgomery County School Board	96,195,769	11,784,014
40162	Nelson County Public Schools	19,616,940	1,812,577
40163	New Kent County School Board	29,960,947	3,602,091
40165	Northampton County Schools	15,885,647	1,460,184
40166	Northumberland County School Board	14,104,406	1,487,590
40167	Nottoway County School Board	18,966,437	1,739,219
40168	Orange County Public Schools	46,064,883	4,635,280
40169	Page County Public Schools	30,841,381	2,733,687
40170	Patrick County School Board	21,516,057	1,865,233
40171	Pittsylvania County School Board	76,941,190	8,697,685
40172	Powhatan County School Board	42,218,623	4,343,217
40173	Prince Edward County School Board	19,411,748	1,363,126
40174	Prince George County School Board	57,536,718	5,895,814
40176	Prince William County School Board	983,823,015	120,131,395
40177	Pulaski County School Board	36,097,789	2,962,199
40178	Rappahannock County School Board	9,964,183	957,932
40179	Richmond County School Board	12,141,256	1,352,397
40180	Roanoke County School Board	134,718,026	14,350,604
40181	Rockbridge County School Board	29,818,331	3,247,865

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2020

Employer Code	Employer	Net Pension Liability	Total Pension Expense
40182	Rockingham County School Board	116,297,311	12,646,903
40183	Russell County School Board	32,910,764	3,546,363
40184	Scott County School Board	35,936,255	3,827,404
40185	Shenandoah County School Board	64,038,832	7,361,957
40186	Smyth County School Board	38,787,115	3,162,359
40187	Southampton County School Board	23,127,034	2,322,143
40188	Spotsylvania County School Board	228,939,004	24,584,179
40189	Stafford County School Board	281,210,583	32,139,227
40190	Surry County Schools	12,379,919	845,026
40191	Sussex County School Board	13,854,100	1,404,922
40192	Tazewell County Schools	42,287,021	3,101,895
40193	Warren County School Board	52,241,018	5,417,626
40195	Washington County School Board	61,234,540	5,660,049
40196	Westmoreland County School Board	16,885,412	1,888,757
40197	Wise County School Board	48,438,416	3,967,837
40198	Wythe County School Board	36,156,000	3,377,717
40199	York County School Board	124,749,477	14,434,898
40200	Alexandria City School Board	268,263,110	31,709,501
40201	Bristol City School Board	22,031,221	2,110,771
40202	Buena Vista City Schools	8,875,646	814,128
40203	Charlottesville Public Schools	69,811,858	8,074,376
40205	Danville City Schools	61,422,269	6,533,239
40206	Fredericksburg City Schools	40,665,858	4,562,653
40207	Hampton City Schools	188,158,180	17,036,182
40208	Harrisonburg City School Board	72,598,687	9,488,165
40209	Hopewell City School Board	44,868,657	4,950,677
40210	Lynchburg Public Schools	92,940,347	8,952,472
40211	Newport News Public Schools	277,947,884	27,480,474
40212	Norfolk Public Schools	356,718,338	30,719,445
40213	Petersburg City Schools	41,800,963	4,199,037
40214	Portsmouth School Board	142,941,716	14,154,356
40215	Radford City School Board	15,306,452	1,635,364
40216	Richmond Public Schools	272,356,764	26,553,242
40217	Roanoke City School Board	141,329,284	15,478,219
40219	Staunton City Schools	29,894,004	3,089,291
40220	Suffolk City School Board	137,947,254	15,699,684
40222	Winchester Public Schools	51,555,588	5,380,562
40223	Martinsville City Schools	19,357,903	1,376,364
40224	Falls Church Public Schools	47,357,156	5,807,125

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Net Pension Liability and Total Pension Expense
As of the Measurement Date and For the Plan Year Ended June 30, 2020

Employer Code	Employer	Net Pension Liability	Total Pension Expense
40225	Colonial Heights City Schools	33,325,514	3,239,628
40230	Covington City School Board	9,491,223	1,009,487
40231	Fairfax City School Board	167,355	17,990
40232	Franklin City Public Schools	10,477,891	393,605
40233	Chesapeake Public Schools	424,265,808	46,960,024
40234	Virginia Beach City School Board	714,726,039	74,195,158
40236	Manassas Park City Schools	38,044,930	4,471,433
40306	Town of West Point School Board	9,694,960	1,212,614
40307	Lexington City School Board	5,476,153	683,931
40308	Waynesboro Public Schools	30,406,257	2,872,955
40309	Town of Colonial Beach Schools	6,245,987	679,398
40313	Galax City Schools	12,445,406	1,242,102
40314	Norton City Schools	6,176,134	541,809
40332	Manassas City Schools	95,652,956	9,212,732
40335	City of Salem Schools	39,759,230	4,116,112
40402	Williamsburg-James City County School Board	124,830,972	13,799,986
40403	Poquoson City Public Schools	20,434,798	2,143,804
40410	Valley Vocational Technical Center	3,446,062	336,997
40412	Charlottesville/Albemarle Vo-Tech Center	2,069,384	232,399
40414	Jackson River Technical Center	966,294	(9,135)
40415	New Horizons Technical Center	15,050,326	1,732,185
40416	Northern Neck Regional Vocational Center	2,085,392	217,095
40417	Rowanty Vocational Technical Center	1,439,254	175,544
40418	Amelia-Nottoway Vocational Center	417,660	49,183
40421	Northern Neck Regional Special Education Program	1,434,889	100,585
40423	Maggie Walker Governor's School for Govt & Intl Studies	7,434,937	728,055
40424	Appomattox Region Governor's School	3,432,965	393,784
40425	Bridging Communities Regional Career and Tech Center	839,687	111,584
Total for Teacher Employers		\$ 14,552,626,158	\$ 1,644,053,651

The accompanying notes are an integral part of the Schedule of Net Pension Liability and Total Pension Expense.

Virginia Retirement System
VRS Teacher Retirement Plan
Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer
As of the Measurement Date of June 30, 2020

Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Inflows of Resources
40100	Accomack County School Board	\$ —	\$ 3,635,021	\$ 3,262,323	\$ 222,410	\$ 7,119,754	\$ 2,801,278	\$ —	\$ —	\$ 1,660,524	\$ 4,461,802
40101	Albemarle County Schools	—	12,883,627	11,562,670	3,467,696	27,913,993	9,928,588	—	—	71,750	10,000,338
40102	Alleghany County School Board	—	1,466,738	1,316,353	—	2,783,091	1,130,321	—	—	1,578,460	2,708,781
40103	Amelia County School Board	—	1,089,510	977,803	113,402	2,180,715	839,616	—	—	849,827	1,689,443
40104	Amherst County School Board	—	3,195,587	2,867,944	467,283	6,530,814	2,462,635	—	—	1,269,870	3,732,505
40105	Appomattox County School Board	—	1,476,921	1,325,493	189,538	2,991,952	1,138,169	—	—	581,122	1,719,291
40106	Arlington Public Schools	—	40,598,231	36,435,698	8,544,710	85,578,639	31,286,463	—	—	3,711,487	34,997,950
40107	Augusta County School Board	—	7,747,223	6,952,901	318,000	15,018,124	5,970,291	—	—	2,753,101	8,723,392
40108	Bath County School Board	—	585,212	525,210	—	1,110,422	450,985	—	—	537,552	988,537
40109	Bedford County School Board	—	6,802,161	6,104,736	700,019	13,606,916	5,241,991	—	—	1,457,601	6,699,592
40110	Bland County School Board	—	459,137	412,062	32,774	903,973	353,828	—	—	594,097	947,925
40111	Botetourt County Schools	—	3,659,594	3,284,377	13,025	6,956,996	2,820,215	—	—	1,020,640	3,840,855
40112	Brunswick County Public Schools	—	1,184,149	1,062,738	—	2,246,887	912,547	—	—	1,214,311	2,126,858
40113	Buchanan County School Board	—	1,751,208	1,571,657	—	3,322,865	1,349,544	—	—	2,310,206	3,659,750
40114	Buckingham County School Board	—	1,449,028	1,300,459	242,165	2,991,652	1,116,674	—	—	684,678	1,801,352
40115	Campbell County School Board	—	5,325,240	4,779,244	537,638	10,642,122	4,103,823	—	—	817,208	4,921,031
40116	Caroline County School Board	—	2,719,403	2,440,583	109,274	5,269,260	2,095,669	—	—	1,348,434	3,444,103
40117	Carroll County School Board	—	2,795,447	2,508,830	311,356	5,615,633	2,154,273	—	—	1,716,324	3,870,597
40118	Charles City County School Board	—	529,535	475,242	24,178	1,028,955	408,078	—	—	911,904	1,319,982
40119	Charlotte County School Board	—	1,452,902	1,303,936	30,212	2,787,050	1,119,659	—	—	1,077,570	2,197,229
40120	Chesterfield County School Board	—	40,968,264	36,767,792	5,686,806	83,422,862	31,571,625	—	—	5,062,354	36,633,979
40121	Clarke County School Board	—	1,639,634	1,471,522	36,926	3,148,082	1,263,561	—	—	407,350	1,670,911
40122	Craig County School Board	—	473,748	425,175	35,703	934,626	365,087	—	—	201,510	566,597
40123	Culpeper County School Board	—	5,929,601	5,321,640	—	11,251,241	4,569,565	—	—	1,423,399	5,992,964
40124	Cumberland County School Board	—	1,076,892	966,478	208,964	2,252,334	829,892	—	—	451,050	1,280,942
40125	Dickenson County School Board	—	1,303,804	1,170,125	287,085	2,761,014	1,004,759	—	—	1,224,190	2,228,949
40126	Dinwiddie County School Board	—	3,139,800	2,817,876	321,654	6,279,330	2,419,643	—	—	851,203	3,270,846
40128	Essex County Public Schools	—	983,802	882,933	1,910	1,868,645	758,154	—	—	1,268,437	2,026,591
40129	Fairfax County School Board	—	204,833,684	183,832,106	37,288,238	425,954,028	157,852,241	—	—	—	157,852,241
40130	Fauquier County School Board	—	9,962,549	8,941,090	—	18,903,639	7,677,500	—	—	2,324,601	10,002,101

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Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Inflows of Resources
40131	Floyd County School Board	—	1,411,836	1,267,081	303,114	2,982,031	1,088,012	—	—	693,346	1,781,358
40132	Fluvanna County Public Schools	—	3,212,522	2,883,143	62,102	6,157,767	2,475,686	—	—	1,365,184	3,840,870
40133	Franklin County Public Schools	—	5,439,914	4,882,160	917,738	11,239,812	4,192,195	—	—	3,823,247	8,015,442
40134	Frederick County School Board	—	12,134,375	10,890,238	2,008,858	25,033,471	9,351,188	—	—	1,773,403	11,124,591
40135	Giles County Schools	—	1,681,696	1,509,271	199,704	3,390,671	1,295,976	—	—	458,923	1,754,899
40136	Gloucester County School Board	—	4,152,381	3,726,638	853,548	8,732,567	3,199,975	—	—	738,260	3,938,235
40137	Goochland County School Board	—	2,059,034	1,847,921	235,485	4,142,440	1,586,766	—	—	331,808	1,918,574
40138	Grayson County School Board	—	1,198,317	1,075,454	534,655	2,808,426	923,466	—	—	881,948	1,805,414
40139	Greene County Public Schools	—	2,245,987	2,015,706	39,224	4,300,917	1,730,838	—	—	1,298,410	3,029,248
40140	Greensville County School Board	—	1,721,544	1,545,034	278,058	3,544,636	1,326,684	—	—	730,914	2,057,598
40141	Halifax County School Board	—	3,549,238	3,185,335	45,124	6,779,697	2,735,172	—	—	3,363,029	6,098,201
40142	Hanover County School Board	—	13,544,883	12,156,127	91,680	25,792,690	10,438,177	—	—	3,732,809	14,170,986
40143	Henrico County School Board	—	36,916,388	33,131,354	5,188,855	75,236,597	28,449,102	—	—	937,612	29,386,714
40144	Henry County Public Schools	—	4,948,013	4,440,693	34,546	9,423,252	3,813,118	—	—	1,144,709	4,957,827
40145	Highland County Public Schools	—	236,431	212,190	35,874	484,495	182,202	—	—	281,120	463,322
40146	Isle of Wight County Schools	—	4,133,011	3,709,253	435,224	8,277,488	3,185,047	—	—	180,508	3,365,555
40148	King George County School Board	—	3,126,738	2,806,154	1,106,618	7,039,510	2,409,577	—	—	367,014	2,776,591
40149	King & Queen County School Board	—	605,247	543,191	38,674	1,187,112	466,426	—	—	215,338	681,764
40150	King William County School Board	—	1,584,289	1,421,852	—	3,006,141	1,220,910	—	—	731,439	1,952,349
40151	Lancaster County Public Schools	—	920,046	825,713	—	1,745,759	709,020	—	—	1,283,957	1,992,977
40152	Lee County School Board	—	2,520,717	2,262,268	576,219	5,359,204	1,942,555	—	—	973,028	2,915,583
40153	Loudoun County School Board	—	88,183,474	79,142,031	108,512,748	275,838,253	67,957,373	—	—	—	67,957,373
40154	Louisa County Public Schools	—	3,901,339	3,501,335	876,356	8,279,030	3,006,513	—	—	299,780	3,306,293
40155	Lunenburg County School Board	—	1,146,958	1,029,360	720,164	2,896,482	883,888	—	—	439,308	1,323,196
40156	Madison County School Board	—	1,282,220	1,150,754	49,162	2,482,136	988,126	—	—	971,951	1,960,077
40157	Mathews County School Board	—	981,367	880,748	973,418	2,835,533	756,277	—	—	309,111	1,065,388
40158	Mecklenburg County School Board	—	3,177,212	2,851,453	1,446,434	7,475,099	2,448,474	—	—	1,075,486	3,523,960
40159	Middlesex County School Board	—	1,155,149	1,036,711	1,041,532	3,233,392	890,199	—	—	288,834	1,179,033
40160	Montgomery County School Board	—	7,316,754	6,566,568	3,682,952	17,566,274	5,638,555	—	—	339,359	5,977,914
40162	Nelson County Public Schools	—	1,492,086	1,339,102	36,926	2,868,114	1,149,855	—	—	1,138,073	2,287,928
40163	New Kent County School Board	—	2,278,862	2,045,210	640,266	4,964,338	1,756,173	—	—	—	1,756,173

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Employer Code	Employer	Deferred Outflows of Resources					Deferred Inflows of Resources				
		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Inflows of Resources
40165	Northampton County Schools	—	1,208,279	1,084,395	—	2,292,674	931,144	—	—	727,433	1,658,577
40166	Northumberland County School Board	—	1,072,796	962,803	260,432	2,296,031	826,735	—	—	586,889	1,413,624
40167	Nottoway County School Board	—	1,442,608	1,294,697	—	2,737,305	1,111,726	—	—	1,114,969	2,226,695
40168	Orange County Public Schools	—	3,503,745	3,144,506	—	6,648,251	2,700,113	—	—	1,808,424	4,508,537
40169	Page County Public Schools	—	2,345,829	2,105,311	10,760	4,461,900	1,807,780	—	—	2,134,531	3,942,311
40170	Patrick County School Board	—	1,636,534	1,468,741	—	3,105,275	1,261,173	—	—	1,785,848	3,047,021
40171	Pittsylvania County School Board	—	5,852,230	5,252,201	1,395,322	12,499,753	4,509,940	—	—	1,826,019	6,335,959
40172	Powhatan County School Board	—	3,211,194	2,881,951	104,054	6,197,199	2,474,663	—	—	1,141,082	3,615,745
40173	Prince Edward County School Board	—	1,476,478	1,325,095	64,340	2,865,913	1,137,827	—	—	1,658,200	2,796,027
40174	Prince George County School Board	—	4,376,305	3,927,603	499,779	8,803,687	3,372,539	—	—	1,851,020	5,223,559
40176	Prince William County School Board	—	74,830,637	67,158,258	25,288,097	167,276,992	57,667,193	—	—	5,431,868	63,099,061
40177	Pulaski County School Board	—	2,745,637	2,464,127	—	5,209,764	2,115,887	—	—	2,628,701	4,744,588
40178	Rappahannock County School Board	—	757,886	680,180	—	1,438,066	584,054	—	—	357,847	941,901
40179	Richmond County School Board	—	923,477	828,793	240,749	1,993,019	711,664	—	—	203,066	914,730
40180	Roanoke County School Board	—	10,246,798	9,196,195	1,147,988	20,590,981	7,896,553	—	—	3,976,691	11,873,244
40181	Rockbridge County School Board	—	2,268,014	2,035,475	332,004	4,635,493	1,747,814	—	—	478,464	2,226,278
40182	Rockingham County School Board	—	8,845,699	7,938,750	483,942	17,268,391	6,816,816	—	—	2,813,526	9,630,342
40183	Russell County School Board	—	2,503,228	2,246,572	377,540	5,127,340	1,929,078	—	—	735,371	2,664,449
40184	Scott County School Board	—	2,733,350	2,453,100	139,832	5,326,282	2,106,418	—	—	548,381	2,654,799
40185	Shenandoah County School Board	—	4,870,862	4,371,453	1,365,214	10,607,529	3,753,662	—	—	1,261,439	5,015,101
40186	Smyth County School Board	—	2,950,190	2,647,707	—	5,597,897	2,273,523	—	—	2,126,889	4,400,412
40187	Southampton County School Board	—	1,759,067	1,578,710	26,296	3,364,073	1,355,601	—	—	605,130	1,960,731
40188	Spotsylvania County School Board	—	17,413,347	15,627,958	1,208,982	34,250,287	13,419,355	—	—	3,895,839	17,315,194
40189	Stafford County School Board	—	21,389,179	19,196,149	5,955,393	46,540,721	16,483,275	—	—	1,980,528	18,463,803
40190	Surry County Schools	—	941,630	845,085	442	1,787,157	725,654	—	—	1,490,220	2,215,874
40191	Sussex County School Board	—	1,053,758	945,716	67,898	2,067,372	812,064	—	—	411,860	1,223,924
40192	Tazewell County Schools	—	3,216,396	2,886,619	—	6,103,015	2,478,670	—	—	4,117,812	6,596,482
40193	Warren County School Board	—	3,973,508	3,566,105	68,256	7,607,869	3,062,130	—	—	818,007	3,880,137
40195	Washington County School Board	—	4,657,565	4,180,025	—	8,837,590	3,589,288	—	—	2,559,275	6,148,563
40196	Westmoreland County School Board	—	1,284,323	1,152,641	618,977	3,055,941	989,746	—	—	760,029	1,749,775
40197	Wise County School Board	—	3,684,278	3,306,529	915,081	7,905,888	2,839,237	—	—	2,816,337	5,655,574

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		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Inflows of Resources
40198	Wythe County School Board	—	2,750,064	2,468,100	—	5,218,164	2,119,298	—	—	1,498,401	3,617,699
40199	York County School Board	—	9,488,579	8,515,716	1,649,197	19,653,492	7,312,242	—	—	1,404,850	8,717,092
40200	Alexandria City School Board	—	20,404,381	18,312,321	1,888,842	40,605,544	15,724,353	—	—	1,871,902	17,596,255
40201	Bristol City School Board	—	1,675,718	1,503,907	247,817	3,427,442	1,291,369	—	—	692,566	1,983,935
40202	Buena Vista City Schools	—	675,091	605,874	2,950	1,283,915	520,249	—	—	536,566	1,056,815
40203	Charlottesville Public Schools	—	5,309,965	4,765,535	159,140	10,234,640	4,092,051	—	—	252,184	4,344,235
40205	Danville City Schools	—	4,671,844	4,192,840	3,044,843	11,909,527	3,600,291	—	—	1,587,926	5,188,217
40206	Fredericksburg City Schools	—	3,093,089	2,775,955	11,628	5,880,672	2,383,647	—	—	849,748	3,233,395
40207	Hampton City Schools	—	14,311,514	12,844,155	—	27,155,669	11,028,970	—	—	7,964,073	18,993,043
40208	Harrisonburg City School Board	—	5,521,934	4,955,771	2,696,677	13,174,382	4,255,402	—	—	—	4,255,402
40209	Hopewell City School Board	—	3,412,758	3,062,849	700,335	7,175,942	2,629,995	—	—	760,439	3,390,434
40210	Lynchburg Public Schools	—	7,069,143	6,344,344	227,876	13,641,363	5,447,737	—	—	6,309,456	11,757,193
40211	Newport News Public Schools	—	21,141,015	18,973,429	—	40,114,444	16,292,030	—	—	11,009,343	27,301,373
40212	Norfolk Public Schools	—	27,132,380	24,350,500	—	51,482,880	20,909,192	—	—	24,361,069	45,270,261
40213	Petersburg City Schools	—	3,179,426	2,853,440	480,230	6,513,096	2,450,181	—	—	1,178,724	3,628,905
40214	Portsmouth School Board	—	10,872,301	9,757,565	—	20,629,866	8,378,589	—	—	3,572,230	11,950,819
40215	Radford City School Board	—	1,164,225	1,044,857	118,254	2,327,336	897,194	—	—	478,294	1,375,488
40216	Richmond Public Schools	—	20,715,748	18,591,765	3,060,868	42,368,381	15,964,304	—	—	20,720,380	36,684,684
40217	Roanoke City School Board	—	10,749,657	9,647,496	87,124	20,484,277	8,284,075	—	—	3,104,030	11,388,105
40219	Staunton City Schools	—	2,273,770	2,040,641	28,636	4,343,047	1,752,249	—	—	995,860	2,748,109
40220	Suffolk City School Board	—	10,492,416	9,416,630	3,647,755	23,556,801	8,085,835	—	—	4,938,369	13,024,204
40222	Winchester Public Schools	—	3,921,374	3,519,315	131,215	7,571,904	3,021,952	—	—	1,581,535	4,603,487
40223	Martinsville City Schools	—	1,472,383	1,321,420	—	2,793,803	1,134,672	—	—	1,697,480	2,832,152
40224	Falls Church Public Schools	—	3,602,036	3,232,720	1,102,327	7,937,083	2,775,860	—	—	862,901	3,638,761
40225	Colonial Heights City Schools	—	2,534,774	2,274,884	—	4,809,658	1,953,388	—	—	904,828	2,858,216
40230	Covington City School Board	—	721,913	647,895	166,736	1,536,544	556,333	—	—	486,784	1,043,117
40231	Fairfax City School Board	—	12,729	11,424	442	24,595	9,809	—	—	4,306	14,115
40232	Franklin City Public Schools	—	796,960	715,247	—	1,512,207	614,165	—	—	2,129,682	2,743,847
40233	Chesapeake Public Schools	—	32,270,114	28,961,462	5,347,739	66,579,315	24,868,517	—	—	1,916,127	26,784,644
40234	Virginia Beach City School Board	—	54,362,831	48,789,015	—	103,151,846	41,893,962	—	—	18,267,393	60,161,355
40236	Manassas Park City Schools	—	2,893,738	2,597,044	396,390	5,887,172	2,230,020	—	—	983,277	3,213,297

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		Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Outflows of Resources	Differences Between Expected and Actual Experience	Net Difference Between Projected and Actual Earnings on Pension Plan Investments	Change of Assumptions	Changes in Proportionate Share	Total Deferred Inflows of Resources
40306	Town of West Point School Board	—	737,409	661,803	238,642	1,637,854	568,274	—	—	200,158	768,432
40307	Lexington City School Board	—	416,522	373,816	240,451	1,030,789	320,987	—	—	3,644	324,631
40308	Waynesboro Public Schools	—	2,312,733	2,075,608	28,704	4,417,045	1,782,276	—	—	1,624,054	3,406,330
40309	Town of Colonial Beach Schools	—	475,076	426,367	46,019	947,462	366,111	—	—	195,676	561,787
40313	Galax City Schools	—	946,611	849,555	—	1,796,166	729,493	—	—	516,129	1,245,622
40314	Norton City Schools	—	469,763	421,599	67,525	958,887	362,017	—	—	490,425	852,442
40332	Manassas City Schools	—	7,275,467	6,529,514	1,364,481	15,169,462	5,606,738	—	—	5,308,658	10,915,396
40335	City of Salem Schools	—	3,024,130	2,714,066	161,128	5,899,324	2,330,504	—	—	848,782	3,179,286
40402	Williamsburg-James City County School Board	—	9,494,778	8,521,279	1,040,458	19,056,515	7,317,019	—	—	1,708,168	9,025,187
40403	Poquoson City Public Schools	—	1,554,293	1,394,931	32,332	2,981,556	1,197,794	—	—	478,221	1,676,015
40410	Valley Vocational Technical Center	—	262,111	235,237	—	497,348	201,992	—	—	123,062	325,054
40412	Charlottesville/Albemarle Vo-Tech Center	—	157,400	141,261	202,409	501,070	121,298	—	—	147,357	268,655
40414	Jackson River Technical Center	—	73,497	65,962	27,414	166,873	56,639	—	—	224,182	280,821
40415	New Horizons Technical Center	—	1,144,744	1,027,373	295,630	2,467,747	882,180	—	—	416,624	1,298,804
40416	Northern Neck Regional Vocational Center	—	158,617	142,354	44,740	345,711	122,236	—	—	60,564	182,800
40417	Rowanty Vocational Technical Center	—	109,471	98,247	130,356	338,074	84,362	—	—	64,898	149,260
40418	Amelia-Nottoway Vocational Center	—	31,768	28,511	43,963	104,242	24,482	—	—	35,069	59,551
40421	Northern Neck Regional Special Education Program	—	109,139	97,949	40,584	247,672	84,107	—	—	71,136	155,243
40423	Maggie Walker Governor's School for Govt & Intl Studies	—	565,509	507,528	30,248	1,103,285	435,802	—	—	438,150	873,952
40424	Appomattox Region Governor's School	—	261,115	234,343	237,732	733,190	201,225	—	—	104,678	305,903
40425	Bridging Communities Regional Career and Tech Center	—	63,867	57,319	59,706	180,892	49,218	—	—	76,424	125,642
Total for Teacher Employers		\$ —	\$ 1,106,888,397	\$ 993,399,232	\$ 260,257,145	\$ 2,360,544,774	\$ 853,008,206	\$ —	\$ —	\$ 260,257,145	\$ 1,113,265,351

The accompanying notes are an integral part of the Schedule of Deferred Outflows and Deferred Inflows of Resources by Employer.

**Virginia Retirement System
VRS Teacher Retirement Plan
Notes to GASB No. 68 Schedules
For the Plan Year Ended Date of June 30, 2020**

Note 1. Summary of Significant Accounting Policies

Description of the Entity

The Virginia Retirement System (the System) is an independent agency of the Commonwealth of Virginia. The System administers four separate pension trust funds – the Virginia Retirement System (VRS), the State Police Officers' Retirement System (SPORS), the Virginia Law Officers' Retirement System (VaLORS) and the Judicial Retirement System (JRS). The VRS Teacher Retirement Plan is part of the VRS Trust Fund.

Administration and Management

The Board of Trustees (the Board) is responsible for the general administration and operation of the defined benefit pension plans and the other employee benefit plans. The Board has full power to invest and reinvest the trust funds of the System through the adoption of investment policies and guidelines that fulfill the Board's investment objective to maximize long-term investment returns while targeting an acceptable level of risk.

The Board consists of nine members. Five members are appointed by the Governor and four members are appointed by the Joint Rules Committee of the General Assembly subject to confirmation by the General Assembly. The Board appoints a Director to serve as the Chief Administrative Officer of the System and a Chief Investment Officer to direct, manage, and administer the investment of the System's funds.

The System issues a *Comprehensive Annual Financial Report* (Annual Report) containing the financial statements and required supplementary information for all of the System's pension and other employee benefit trust funds. A copy of the 2020 VRS Annual Report may be downloaded from the VRS website at varetire.org/pdf/publications/2020-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA 23218-2500. The pension and other employee benefit trust funds administered by the VRS are classified as fiduciary funds and are included in the basic financial statements of the Commonwealth of Virginia.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Virginia Retirement System (VRS) Teacher Retirement Plan and the additions to/deductions from the VRS Teacher Retirement Plan's net fiduciary position have been determined on the same basis as they were reported by VRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Note 2. General Information about the Pension Plan

Plan Description

All full-time, salaried permanent (professional) employees of public school divisions are automatically covered by the VRS Teacher Retirement Plan upon employment. This plan is administered by the Virginia Retirement System (the System) along with plans for other employer groups in the Commonwealth of Virginia. The VRS Teacher Retirement Plan is a multiple-employer cost-sharing plan. Members earn one month of service credit for each month they are employed and for which they and their employer pay contributions to VRS. Members are eligible to purchase prior service, based on specific criteria as defined in the *Code of Virginia*, as amended. Eligible prior service that may be purchased includes prior public service, active military service, certain periods of leave and previously refunded service.

The System administers three different benefit structures for covered employees in the VRS Teacher Retirement Plan – Plan 1, Plan 2 and Hybrid. Each of these benefit structures has different eligibility criteria. The specific information for each plan, and the eligibility for covered groups within each plan are set out in the table below:

RETIREMENT PLAN PROVISIONS BY PLAN STRUCTURE		
PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
About Plan 1 Plan 1 is a defined benefit plan. The retirement benefit is based on a member's age, service credit and average final compensation at retirement using a formula.	About Plan 2 Plan 2 is a defined benefit plan. The retirement benefit is based on a member's age, service credit and average final compensation at retirement using a formula.	About the Hybrid Retirement Plan The Hybrid Retirement Plan combines the features of a defined benefit plan and a defined contribution plan. • The defined benefit is based on a member's age, service credit and average final compensation at retirement using a formula. • The benefit from the defined contribution component of the plan depends on the member and employer contributions made to the plan and the investment performance of those contributions. • In addition to the monthly benefit payment payable from the defined benefit plan at retirement, a member may start receiving distributions from the balance in the defined contribution account, reflecting the contributions, investment gains or losses, and any required fees.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Eligible Members Employees are in Plan 1 if their membership date is before July 1, 2010, and they were vested as of January 1, 2013, and they have not taken a refund. Hybrid Opt-In Election VRS non-hazardous duty-covered Plan 1 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 1 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan. Members who were eligible for an optional retirement plan (ORP) and had prior service under Plan 1 were not eligible to elect the Hybrid Retirement Plan, and remain as Plan 1 or ORP.	Eligible Members Members are in Plan 2 if their membership date is from July 1, 2010, to December 31, 2013, and they have not taken a refund. Members are covered under Plan 2 if they have a membership date prior to July 1, 2010, and they were not vested before January 1, 2013. Hybrid Opt-In Election Eligible Plan 2 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 2 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan.	Eligible Members Employees are in the Hybrid Retirement Plan if their membership date is on or after January 1, 2014. This includes: • School division employees. • Members in Plan 1 or Plan 2 who elected to opt into the plan during the election window held January 1-April 30, 2014; the plan's effective date for opt-in members was July 1, 2014.
Retirement Contributions Employees contribute 5% of their compensation each month to their member contribution account through a pretax salary reduction. Member contributions are tax-deferred until they are withdrawn as part of a retirement benefit or as a refund. The employer makes a separate actuarially determined contribution to VRS for all covered employees. VRS invests both member and employer contributions to provide funding for the future benefit payment.	Retirement Contributions Same as Plan 1.	Retirement Contributions A member's retirement benefit is funded through mandatory and voluntary contributions made by the member and the employer to both the defined benefit and the defined contribution components of the plan. Mandatory contributions are based on a percentage of the employee's creditable compensation and are required from both the member and the employer. Additionally, members may choose to make voluntary contributions to the defined contribution component of the plan, and the employer is required to match those voluntary contributions according to specified percentages.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Service Credit Service credit includes active service. Members earn service credit for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional service credit the member was granted. A member's total service credit is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit.	Service Credit Same as Plan 1.	Service Credit <i>Defined Benefit Component:</i> Under the defined benefit component of the plan, service credit includes active service. Members earn service credit for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional service credit the member was granted. A member's total service credit is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit. <i>Defined Contribution Component:</i> Under the defined contribution component, service credit is used to determine vesting for the employer contribution portion of the plan.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Vesting Vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members become vested when they have at least five years (60 months) of service credit. Vesting means members are eligible to qualify for retirement if they meet the age and service requirements for their plan. Members also must be vested to receive a full refund of their member contribution account balance if they leave employment and request a refund. Members are always 100% vested in the contributions that they make.	Vesting Same as Plan 1.	Vesting <i>Defined Benefit Component:</i> Defined benefit vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members are vested under the defined benefit component of the Hybrid Retirement Plan when they reach five years (60 months) of service credit. Plan 1 or Plan 2 members with at least five years (60 months) of service credit who opted into the Hybrid Retirement Plan remain vested in the defined benefit component. <i>Defined Contribution Component:</i> Defined contribution vesting refers to the minimum length of service a member needs to be eligible to withdraw the employer contributions from the defined contribution component of the plan. Members are always 100% vested in the contributions that they make. Upon retirement or leaving covered employment, a member is eligible to withdraw a percentage of employer contributions to the defined contribution component of the plan, based on service. • After two years, a member is 50% vested and may withdraw 50% of employer contributions. • After three years, a member is 75% vested and may withdraw 75% of employer contributions. • After four or more years, a member is 100% vested and may withdraw 100% of employer contributions. Distributions not required, except as governed by law.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Calculating the Benefit The basic benefit is determined using the average final compensation, service credit and plan multiplier. An early retirement reduction is applied to this amount if the member is retiring with a reduced benefit. In cases where the member has elected an optional form of retirement payment, an option factor specific to the option chosen is then applied.	Calculating the Benefit See definition under Plan 1.	Calculating the Benefit <i>Defined Benefit Component:</i> See definition under Plan 1. <i>Defined Contribution Component:</i> The benefit is based on contributions made by the member and any matching contributions made by the employer, plus net investment earnings on those contributions.
Average Final Compensation A member's average final compensation is the average of the 36 consecutive months of highest compensation as a covered employee.	Average Final Compensation A member's average final compensation is the average of the 60 consecutive months of highest compensation as a covered employee.	Average Final Compensation Same as Plan 2. It is used in the retirement formula for the defined benefit component of the plan.
Service Retirement Multiplier The retirement multiplier is a factor used in the formula to determine a final retirement benefit. The retirement multiplier for members is 1.70%.	Service Retirement Multiplier Same as Plan 1 for service earned, purchased or granted prior to January 1, 2013. The retirement multiplier is 1.65% for service credit earned, purchased or granted on or after January 1, 2013.	Service Retirement Multiplier <i>Defined Benefit Component:</i> The retirement multiplier for the defined benefit component is 1.00%. For members who opted into the Hybrid Retirement Plan from Plan 1 or Plan 2, the applicable multipliers for those plans will be used to calculate the retirement benefit for service credited in those plans. <i>Defined Contribution Component:</i> Not applicable.
Normal Retirement Age Age 65.	Normal Retirement Age Normal Social Security retirement age.	Normal Retirement Age <i>Defined Benefit Component:</i> Same as Plan 2. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Earliest Unreduced Retirement Eligibility Age 65 with at least five years (60 months) of service credit or at age 50 with at least 30 years of service credit.	Earliest Unreduced Retirement Eligibility Normal Social Security retirement age with at least five years (60 months) of service credit or when their age plus service credit equals 90.	Earliest Unreduced Retirement Eligibility <i>Defined Benefit Component:</i> Normal Social Security retirement age and have at least five years (60 months) of service credit or when their age and service equal 90. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.
Earliest Reduced Retirement Eligibility Age 55 with at least five years (60 months) of service credit or age 50 with at least 10 years of service credit.	Earliest Reduced Retirement Eligibility Age 60 with at least five years (60 months) of service credit.	Earliest Reduced Retirement Eligibility <i>Defined Benefit Component:</i> Age 60 with at least five years (60 months) of service credit. <i>Defined Contribution Component:</i> Members are eligible to receive distributions upon leaving employment, subject to restrictions.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Cost-of-Living Adjustment (COLA) in Retirement The Cost-of-Living Adjustment (COLA) matches the first 3% increase in the Consumer Price Index for all Urban Consumers (CPI-U) and half of any additional increase (up to 4%) up to a maximum COLA of 5%. <i>Eligibility:</i> For members who retire with an unreduced benefit or with a reduced benefit with at least 20 years of service credit, the COLA will go into effect on July 1 after one full calendar year from the retirement date. For members who retire with a reduced benefit and who have less than 20 years of service credit, the COLA will go into effect on July 1 after one calendar year following the unreduced retirement eligibility date. <i>Exceptions to COLA Effective Dates:</i> The COLA is effective July 1 following one full calendar year (January 1 to December 31) under any of the following circumstances: • The member is within five years of qualifying for an unreduced retirement benefit as of January 1, 2013. • The member retires on disability. • The member retires directly from short-term or long-term disability. • The member is involuntarily separated from employment for causes other than job performance or misconduct and is eligible to retire under the Workforce Transition Act or the Transitional Benefits Program. • The member dies in service and the member's survivor or beneficiary is eligible for a monthly death-in-service benefit. The COLA will go into effect on July 1 following one full calendar year (January 1 to December 31) from the date the monthly benefit begins.	Cost-of-Living Adjustment (COLA) in Retirement The Cost-of-Living Adjustment (COLA) matches the first 2% increase in the CPI-U and half of any additional increase (up to 2%), for a maximum COLA of 3%. <i>Eligibility:</i> Same as Plan 1. <i>Exceptions to COLA Effective Dates:</i> Same as Plan 1.	Cost-of-Living Adjustment (COLA) in Retirement <i>Defined Benefit Component:</i> Same as Plan 2. <i>Defined Contribution Component:</i> Not applicable. <i>Eligibility:</i> Same as Plan 1 and Plan 2. <i>Exceptions to COLA Effective Dates:</i> Same as Plan 1 and Plan 2.

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
Disability Coverage Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.70% on all service, regardless of when it was earned, purchased or granted.	Disability Coverage Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.65% on all service, regardless of when it was earned, purchased or granted.	Disability Coverage Employees of political subdivisions and school divisions (including Plan 1 and Plan 2 opt-ins) participate in the Virginia Local Disability Program (VLDP) unless their local governing body provides and employer-paid comparable program for its members. Hybrid members (including Plan 1 and Plan 2 opt-ins) covered under VLDP are subject to a one-year waiting period before becoming eligible for non-work-related disability benefits.
Purchase of Prior Service Members may be eligible to purchase service from previous public employment, active duty military service, an eligible period of leave or VRS refunded service as service credit in their plan. Prior service credit counts toward vesting, eligibility for retirement and the health insurance credit. Only active members are eligible to purchase prior service. Members also may be eligible to purchase periods of leave without pay.	Purchase of Prior Service Same as Plan 1.	Purchase of Prior Service <i>Defined Benefit Component:</i> Same as Plan 1, with the following exception: Hybrid Retirement Plan members are ineligible for ported service. <i>Defined Contribution Component:</i> Not applicable.

Contributions

The contribution requirement for active employees is governed by § 51.1-145 of the *Code of Virginia*, as amended, but may be impacted as a result of funding provided to school divisions by the Virginia General Assembly. Employees are required to contribute 5.00% of their compensation toward their retirement. Each school division's contractually required employer contribution rate for the year ended June 30, 2020, was 15.68% of covered employee compensation. This rate was based on the actuarial valuation as of June 30, 2017. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability.

Actuarial Assumptions and Methods

The total pension liability for the VRS Teacher Retirement Plan was based on an actuarial valuation as of June 30, 2019, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2020.

Inflation	2.50%
Salary increases, including inflation	3.50% – 5.95%
Investment rate of return	6.75%, net of pension plan investment expenses, including inflation*

** Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GASB purposes of slightly more than the assumed 6.75%. However, since the difference was minimal, and a more conservative 6.75% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 6.75% to simplify preparation of pension liabilities.*

Mortality rates:

Pre-retirement:

RP-2014 White Collar Employee Rates to age 80, White Collar Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020.

Post-retirement:

RP-2014 White Collar Employee Rates to age 49, White Collar Healthy Annuitant Rates at ages 50 and older projected with scale BB to 2020; males 1% increase compounded from ages 70 to 90; females set back 3 years with 1.5% increase compounded from ages 65 to 70 and 2.0% increase compounded from ages 75 to 90.

Post-disablement:

RP-2014 Disability Mortality Rates projected with Scale BB to 2020; 115% of rates for males and females.

The actuarial assumptions used in the June 30, 2019, valuation were based on the results of an actuarial experience study for the period from July 1, 2012, through June 30, 2016, except the change in the discount rate, which was based on VRS Board action effective as of July 1, 2019. Changes to the actuarial assumptions as a result of the experience study and VRS Board action are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Update to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Adjusted rates to better match experience
Salary Scale	No change
Discount Rate	Decrease rate from 7.00% to 6.75%

Note 3. Net Pension Liability

The net pension liability (NPL) is calculated separately for each system and represents that particular system's total pension liability determined in accordance with GASB Statement No. 67, less that system's fiduciary net position. As of June 30, 2020, NPL amounts for the VRS Teacher Retirement Plan are as follows (amounts expressed in thousands):

Total Pension Liability	\$ 51,001,855
Plan Fiduciary Net Position	36,449,229
Employers' Net Pension Liability (Asset)	<u>\$ 14,552,626</u>
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	71.47%

The total pension liability is calculated by the System's actuary, and each plan's fiduciary net position is reported in the System's financial statements. The net pension liability is disclosed in accordance with the requirements of GASB Statement No. 67 in the System's notes to the financial statements and required supplementary information.

Discount Rate

The discount rate used to measure the total pension liability was 6.75%. The projection of cash flows used to determine the discount rate assumes that member contributions are made per the VRS Statutes and the employer contributions are made in accordance with the VRS funding policy at rates equal to the difference between actuarially determined contribution rates adopted by the VRS Board of Trustees and the member rate. Through the fiscal year ending June 30, 2020, the rate contributed by the school divisions for the VRS Teacher Retirement Plan was subject to the portion of the VRS Board-certified rates that were funded by the Virginia General Assembly which was 100% of the actuarially determined contribution rate. From July 1, 2020, on, school divisions are assumed to continue to contribute 100% of the actuarially determined contribution rates. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore the long-term expected rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on pension System investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension System investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target asset allocation and best estimate of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class (Strategy)	Long-Term Target Asset Allocation	Arithmetic Long-Term Expected	Weighted Average Long-Term
Public Equity	34.00%	4.65%	1.58%
Fixed Income	15.00%	0.46%	0.07%
Credit Strategies	14.00%	5.38%	0.75%
Real Assets	14.00%	5.01%	0.70%
Private Equity	14.00%	8.34%	1.17%
MAPS - Multi -Asset Public Strategies	6.00%	3.04%	0.18%
PIP- Private Investment Partnership	3.00%	6.49%	0.19%
Total	100.00%		4.64%
	Inflation		2.50%
	* Expected arithmetic nominal return		7.14%

* The above allocation provides a one-year return of 7.14%. However, one-year returns do not take into account the volatility present in each of the asset classes. In setting the long-term expected return for the System, stochastic projections are employed to model future returns under various economic conditions. The results provide a range of returns over various time periods that ultimately provide a median return of 7.11%, including expected inflation of 2.50%. On October 10, 2019, the VRS Board elected a long-term rate of 6.75% which is roughly at the 40th percentile of the expected long-term results of the VRS fund asset allocation. More recent capital market assumptions compiled for the FY2020 actuarial valuations, provide a median return of 6.81%.

Sensitivity Analysis

The following table presents the collective net pension liability of the participating employers in the VRS Teacher Retirement Plan using the discount rate of 6.75%, as well as what collective net pension liability of the participating employers in the VRS Teacher Retirement Plan net pension liability would be if it were calculated using a discount rate that is one percentage point lower (5.75%) or one percentage point higher (7.75%) than the current rate (amounts expressed in thousands):

Net Pension Liability - 1.00% Decrease (5.75%)	\$	21,351,971
Net Pension Liability - Current Discount Rate (6.75%)	\$	14,552,626
Net Pension Liability - 1.00% Increase (7.75%)	\$	8,928,708

Note 4. Deferred Outflows / (Inflows) of Resources

The following schedule reflects the amortization of the net balance of remaining deferred outflows/(inflows) of resources at June 30, 2020. The average remaining service lives of all employees provided with pensions through the VRS Teacher Retirement Plan at June 30, 2020, was 5.22 years. Deferred outflows of resources related to pensions resulting from the school division's contributions subsequent to the measurement date will be recognized as a reduction of the Net Pension Liability in the financial statements for the year ended June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Measurement Period Ending June 30, 2021	\$ 13,305,984
Measurement Period Ending June 30, 2022	\$ 383,654,724
Measurement Period Ending June 30, 2023	\$ 489,891,321
Measurement Period Ending June 30, 2024	\$ 377,495,741
Measurement Period Ending June 30, 2025	\$ (17,068,347)

Note 5. Employer Contributions

Employers' proportionate shares were calculated on the basis of historical employer contributions. Although GASB Statement No. 68 encourages the use of the employer's projected long-term contribution effort to the retirement plan, allocating on the basis of historical employer contributions is considered acceptable. Employer contributions recognized by the VRS Teacher Retirement Plan that are not representative of future contribution effort are excluded in the determination of employers' proportionate shares. Examples of employer contributions not representative of future contribution effort are contributions toward the purchase of employee service, contributions for adjustments for prior periods and supplemental employer contributions from certain employers.

The employer contributions used in the determination of employers' proportionate shares of collective pension amounts reported in the Schedule of Employer Allocations were based on the total employer contributions using the plan's contribution rates and the employer's covered payroll for FY 2020. This total was \$1,374,613,369. Of this amount, \$45,791,925 was transferred to ICMA-RC as the employer cost of the defined contribution component for employees covered by the Hybrid Retirement Plan benefit structure and \$1,328,821,445 was retained by the defined benefit plan. The employer contributions of \$1,327,774,012 reported in the VRS Teacher Employee's Retirement Plan's Statement of Changes in Net Position (per the System's separately issued financial statements) reflects this net amount minus approximately \$1,047,427 in other employer contribution adjustments that were not representative of future contribution efforts.

Note 6. Additional Financial and Actuarial Information

Information contained in the VRS Teacher Retirement Plan Notes to the Schedule of Employer Allocations and Schedule of Pension Amounts by Employer (Schedules) was extracted from the audited financial statements of the Virginia Retirement System for the fiscal year ended June 30, 2020. Additional financial information supporting the preparation of the VRS Teacher Retirement Plan Schedules (including the Financial statements and the unmodified audit opinion thereon, and required supplementary information) is presented in the separately issued VRS 2020 *Comprehensive Annual Financial Report* (Annual Report). A copy of the 2020 VRS Annual Report may be downloaded from the VRS website at varetire.org/pdf/publications/2020-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA 23218-2500.